

Lighting The LED WAY



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The lighting market in India is evolving rapidly, moving from conventional products to LEDs. This transition is driven by the government's emphasis on energy conservation, rising consumer awareness about energy-efficient products, and innovative products offered by the industry that are in sync with the overall trend of digitisation.

The market evolution is backed by a tectonic shift in technology from electrical to electronics. This, in turn, represents a significant growth opportunity for companies offering electronic hardware/components and solutions used in LED lighting. The shift to LED lighting will also benefit prototype designers, electronics manufacturing services providers and original equipment manufacturers (OEMs).

This report provides an insight into India's LED lighting ecosystem, focusing primarily on market size, opportunities, major demand generating applications, hindrances that impact growth, emerging technology trends and the impact of the Goods and Services Tax (GST).

Market at a glance

Being the second most populous country in the world and fifth major electricity consumer, India has been experiencing an ever-widening demand-supply gap in electricity. Consequently, the market for energy-efficient products such as LED lights is bound to grow. All the survey participants felt that the moderately-growing lighting industry will now move at a faster pace, as the government is encouraging the use of LED lights in a big way.

Other growth drivers are the Smart Cities project, and the increasing

Methodology

Inputs from eight senior industry experts and members across India's LED lighting ecosystem were taken for this report. The ecosystem includes:

1. Large-scale LED lighting companies/OEMs
2. SME LED lighting companies/OEMs
3. Electronic component manufacturers
4. Industry associations

demand for a smart, connected lifestyle and energy-efficiency measures.

According to a report by TechSci (a global research based consulting firm), the LED lighting market in India will grow annually at over 30 per cent during 2016-21. The Electric Lamp and Component Manufacturers Association of India (ELCOMA) estimates the LED market in India to grow to ₹ 216 billion by 2020. This leap will result in the LED market accounting for about 60 per cent of India's total lighting industry (approximately ₹ 376 billion) in 2020.

The key factors that are expected to boost the market include falling LED prices coupled with government schemes for LED light subsidies and LED street lighting. Moreover, rising consumer awareness about the cost-effectiveness, enhanced life, better efficiency and inherent eco-friendly nature of LED lights will continue to drive volume sales from industrial, residential and commercial sectors.

Opportunities abound

LEDs are versatile products that can be used for residential lighting, street lighting, downlights, landscaping, monument lighting, signage, traffic signals, security lights, industrial lighting, office space lighting, automotive lighting and much more. Low energy consumption, low costs, modular designs and ease of use have made LED lighting the first choice in industrial, commercial and domestic applications.

According to survey participants, the top four demand-generating application areas for LED lights (Fig. 1) are street lighting,

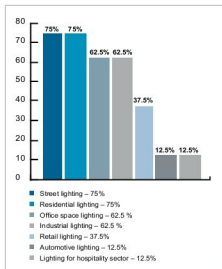


Fig. 1: Major demand generating applications; figures denote the percentage of survey participants who feel a particular LED installation type will be in great demand